PO GOVERNANCE PLATFORM · FUNCTIONAL LOGIC GUIDE

How the PO Governance logic works, step by step

A plain-English guide to every rule inside the PO Governance tool: which data it reads, how it decides which engine to use, how each engine calculates, what each decision means, how recommendations are built, and how the tool behaves on the shared server.

Based on: VMM PO Governance v89 (6), original rules, and the PO Governance deck (16 Sep) 6 Oct 2026

CONTENTS

1. The big idea
2. The data the tool reads
3. The settings (parameters)
4. Step 1 for every article: choosing the engine
5. Single Concept engine: stock cover
6. Multi Concept engine: peer ranking
7. Tool 2: reviewing POs already raised
8. Phase 2: recommendations
9. Analysis screens
10. How it works on the shared server
11. Decision cheat-sheet
12. Terms used

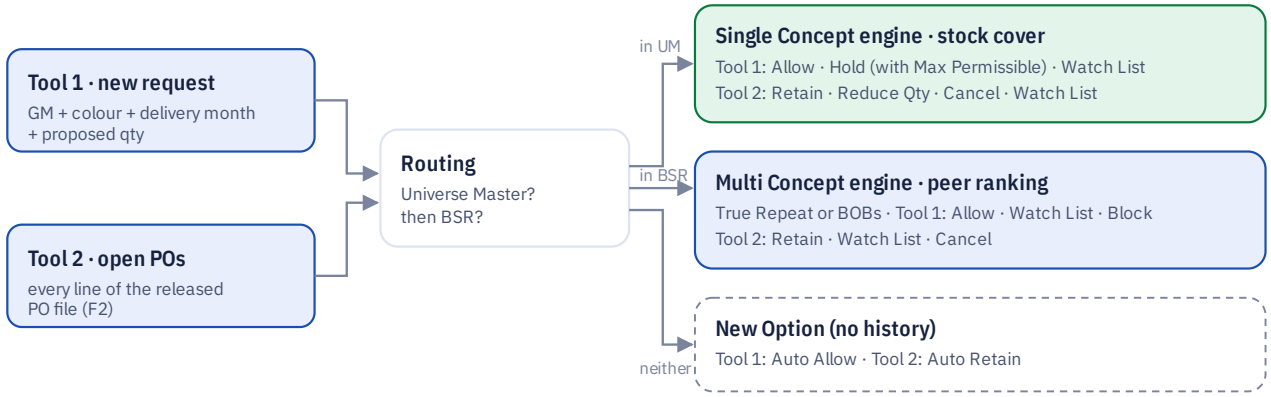
01 The big idea

IN SIMPLE WORDS

The tool stops money getting locked in slow-moving stock. Before a PO is raised it asks: **"Should we buy this colour, and how much?"** After a PO is raised it asks again: **"Is this PO still right, or has the article slowed down?"** It answers using two different methods, depending on the kind of article.

	WHAT IT IS	IN THE TOOL
Phase 1: Detection	Prevents slow-seller ordering and overstock by checking POs	**Tool 1** (new PO request, before release) and **Tool 2** (all open POs, after release)
Phase 2: Recommendation	Suggests what to raise next, or what to switch to	"View Recommendation" on a Tool 1 result, and Option 1/2/3 in the Tool 2 export
Single Concept engine	For single-style MRPs (one MRP, one style, many colours). Judges by **stock cover days (STR)** per colour	Used when the Generic Material is in the Universe Master

	WHAT IT IS	IN THE TOOL
Multi Concept engine	For multi-style MRPs (one MRP, many styles). Judges by **ranking the option against its peers** on per-day sell-through	Used when the Generic Material is not in the Universe Master but is in the Best Seller Report (BSR)



02 The data the tool reads

The planner uploads these files (one zip is easiest). The tool recognises each file by its content or its file name.

FILE	WHAT IT CONTAINS	WHAT THE TOOL USES IT FOR
F1 · Stock	Stock quantity (OP STK) by Brand × MC × MRP × Flag × Colour, one row per location	Today's stock. All rows of the same colour are **added together** (all DCs / RDCs), so stock is company level
F2 · Pending PO	Released / open POs: PO number, Generic Material, colour, delivery month (MM.YYYY), pending qty, PO value, vendor	Stock still to arrive, month by month. In Tool 2 it is also the list of POs to review
F3 · Sales Trend	Daily sales for the last 45 days (Day 1 = oldest … Day 45 = latest) by colour	The **colour mix**: each colour's share of its MC-MRP sales
F4 · Plan	Monthly plan quantity by Brand × MC × MRP × Flag (the slot is labelled "Forecast" in the tool)	Future demand. Split to colours using the colour mix
Universe Master	The list of single-style Generic Materials with Brand, Division, MC, MRP, Flag	**Routing**: in this list = Single Concept engine
BSR · Best Seller Report	Per Generic Material + colour: weeks on floor (WOF) and average per-day sell-through % (PDSTR). All seasons can be loaded together	**Routing** (in BSR = Multi Concept) and **peer ranking**
Article Master (optional)	Generic Material → Brand, Division, MC, MRP, Flag, Season, Style, Fit, Product Material, Design, vendor	Identifies each article; gives seasons for the BSR peer pool; gives attributes for recommendations
Attribute Relevance Master (optional)	For each Brand × MC × MRP × Flag: which attribute matters (Style / Fit / Product Material / Design / Colour-only)	Multi Concept recommendations
Colour Master (optional)	Colour code → description	Readable colour names
Cat Head Mapping / SCR (optional)	Brand × MC × MRP → category head email	Splits the Tool 2 export by category head; on the server, decides who approves a Watch List
GRC buying history (optional)	Goods received quantity by Generic Material × colour, week or month	The GRC backtest only

How an article is identified

- The user enters a **Generic Material (GM)**. The tool looks it up in the Article Master, then the Universe Master, then F2, to find its **Brand, MC, MRP and Flag** (BOGO / non-BOGO).
- All stock, sales, plan and PO data is then matched on **Brand × MC × MRP × Flag** (called KEY-2), and with colour added, **Brand × MC × MRP × Flag × Colour** (KEY-3). The GM itself is used only for routing and for the BSR.
- If the GM cannot be found in any file, the result is **"Cannot Validate"**.

Which BSR season counts

The tool reads every season found in the Article Master (e.g. SS26, AW25). A BSR row belongs to a season through its GM's season in the Article Master. Which season counts as **Current**, and which as **Fallback**, is chosen by the user (see section 6.1).

BSR COUNT DURING SEASON TRANSITION

Early in a season, the current season may not yet have enough styles with 4+ weeks on floor to form a reliable peer pool. In that case it can be **combined with the previous season**, the one immediately before it:

- If **AW26** does not have enough data, combine it with **SS26**.
- If **SS26** does not have enough data, combine it with **AW25**.

This is **selected manually** by the user in Season Selection: select both seasons (e.g. AW26 + SS26) as Current, and drop the older one once the new season has enough data.

The **Fallback season** is different: it is the **same season of last year**.

- **AW26** falls back to **AW25**.
- **SS26** falls back to **SS25**.

The tool uses the Fallback season automatically if the Current selection still has fewer than 5 qualifying peers. The user sets it in Season Selection.

03 The settings (parameters)

The planner can change these in the Parameters panel. The defaults below are the values built into the tool.

SETTING	DEFAULT	WHAT IT CONTROLS
T1 · STR threshold, Tool 1	75 days	Maximum stock cover allowed when raising a new PO
T2 · STR threshold, Tool 2	100 days	Maximum stock cover allowed when reviewing a raised PO
STR buffer	5 %	Tolerance on top of T. **Effective threshold = T × 1.05**: 78.75 days (Tool 1), 105 days (Tool 2)
D · window	75 days	How many days of future demand are used to work out the daily rate of sale
Mix % gate	2 %	A colour selling less than 2 % of its MC-MRP is treated as broken / cut sizes → Watch List
N · reference months	2	Only if F3 has monthly (not daily) columns: months of sales used for the mix
WOF gate	4 weeks	Minimum weeks on floor before an article (or a peer) can be ranked
Peer minimum	5 styles	If the Current-season peer group is smaller, the Fallback season is used

SETTING	DEFAULT	WHAT IT CONTROLS
Border zone	10 %	How far below the peer average a Q3 / Q4 article can be and still be softened
Absolute block (fixed)	PDSTR < 1 %/day with WOF ≥ 4 weeks	Blocks a very slow seller regardless of its rank
Previous-month PO cut-off (fixed)	Day 5	Up to the 5th of a month, last month's still-pending PO is counted as arriving this month
Acceptable reduction (fixed)	90 % retained	In the Tool 2 export, a Reduce that keeps 90 % or more of the PO (a cut of 10 % or less) is marked "Acceptable as-is" and gets no swap options. It does not change the decision

04 Step 1 for every article: choosing the engine

1. **Is the Generic Material in the Universe Master?** Yes → **Single Concept engine** (stock cover). Stop.
2. **Is the Generic Material + this colour in the BSR?** Yes → Multi Concept engine as a **True Repeat** (existing style, existing colour).
3. **Is the Generic Material in the BSR in other colours only?** Yes → Multi Concept engine as a **BOBs** (existing style, new colour).
4. **Neither → New Option**: no history to judge, so Tool 1 gives **Auto Allow** and Tool 2 gives **Auto Retain**.

The same routing is used by Tool 1 and Tool 2. The BSR check looks across all seasons loaded.

05 Single Concept engine: stock cover (Tool 1)

IN SIMPLE WORDS

The tool imagines the future month by month. It starts with today's stock, adds the POs that will arrive, adds your proposed quantity in its delivery month, and takes away the colour's expected sales. It then asks: **"On the first day after the delivery month, how many days will this stock last?"** If that is more than the threshold (78.75 days by default), the PO is too big, and the tool works out the largest quantity that would still fit.



5.1 Colour mix gate

```
Colour mix % = colour's sales in the last 45 days ÷ total sales of its
Brand × MC × MRP × Flag in the same 45 days
```

- If the mix is **below 2 %** (and the MC-MRP has sales) → **Watch List**: "broken / cut sizes likely". No stock cover is calculated.
- If the MC-MRP has no sales at all in F3, the gate is skipped (data may be missing).
- If F3 has only monthly columns, the mix uses the average of the last N (2) months instead.

5.2 Colour demand from the plan

```
Colour demand for a month = Plan (F4) for the Brand × MC × MRP × Flag ×
colour mix %
```

The plan is at MC-MRP level; the colour mix turns it into a plan for this colour.

5.3 Rolling the stock forward

1. **Start:** today's F1 stock for the colour (all locations added together).
2. **This month:** F1 already reflects sales up to today, so only the **remaining days** of this month's demand are taken off: demand × (days left ÷ days in month).
3. **Each month until the delivery month:** stock = stock + pending PO arriving that month − that month's colour demand. Stock never goes below zero.
4. **Delivery month:** stock = stock + pending PO + **your proposed quantity** − demand. The result is the stock on **Day 1 of the month after delivery**: the window start.

Previous-month carry-over: up to the 5th of a month, quantity still pending from last month's delivery is counted as arriving this month (it has probably just been delayed). After the 5th it is ignored.

5.4 Daily rate and stock cover (STR)

```
Window demand = colour demand over the D days (default 75) starting on
Day 1 of DM+1 (part months pro-rated)
Daily rate = window demand ÷ D
STR (days of cover) = stock at window start ÷ daily rate
Effective threshold = T1 × (1 + buffer) = 75 × 1.05 = 78.75 days
```

The daily rate comes only from the plan and the colour mix. Stock and POs do not change it.

5.5 Maximum permissible quantity and the decision

```
Max Permissible = effective threshold × daily rate − stock at window
start without the proposed quantity (rounded down, never below 0)
```

SITUATION	DECISION	MEANING
STR ≤ 78.75 days with the proposed quantity included	**Allow**	Raise the full quantity
STR > 78.75 days, Max Permissible > 0	**Hold — Don't Raise**	The requested quantity is too high. The tool shows Max Permissible: the most that can still be raised
STR > 78.75 days, Max Permissible = 0	**Hold**	Existing stock already covers more than the threshold; do not raise
Colour mix < 2 %	**Watch List**	Broken / cut sizes; category to review
No plan for the MC-MRP in F4	**Auto Allow**	Cannot calculate cover, so not blocked

- **Quantity confirmation:** whenever Max Permissible is above 0, the user is asked to confirm the quantity to raise. The box is pre-filled with Max Permissible and cannot go above it. The tool then re-checks at the confirmed quantity, and the decision shown is the result of that re-check. **So if the user accepts Max Permissible, the decision becomes "Auto Allow"**, with the proposed quantity and the approved quantity both recorded. If the user declines, the decision stays Hold with 0 approved.
- **Only the requested window decides.** If a later month also shows high cover, the reason text adds a "heads-up", but it does not change the decision.

5.6 Same-day requests for the same colour

Once a quantity is approved today for a colour, it is treated like a pending PO in its delivery month for every later request today. So a second request for the same colour sees less room. Only the **approved** quantity counts, not the original ask. On the server, this covers every user's approvals, not just your own.

AFTER SAP INTEGRATION

Once the tool is integrated with SAP, same-day requests will be handled in SAP: every PO created or changed in SAP reaches the tool in real time as an open PO, so a second PO for the same colour automatically sees less room. The in-tool same-day ledger described above applies only while the tool runs on its own, before integration.

WORKED EXAMPLE (ILLUSTRATIVE NUMBERS)

Today is 10 Oct. Request: colour X, delivery month Nov, proposed **12,000**. Today's stock 9,000. Colour mix 10 %. Plan for the MC-MRP: Oct 40,000 · Nov 50,000 · Dec 60,000 · Jan 45,000 · Feb 42,000, so colour demand is Oct 4,000 · Nov 5,000 · Dec 6,000 · Jan 4,500 · Feb 4,200. Pending PO: 2,000 in Nov.

Rest of October (21 of 31 days)	`9,000 − 4,000 × 21/31 ≈ 6,290`
November (delivery month)	`6,290 + 2,000 + 12,000 − 5,000 = 15,290 on 1 Dec`
Window demand, 75 days from 1 Dec	`Dec 6,000 + Jan 4,500 + 13 days of Feb 1,950 = 12,450`
Daily rate	`12,450 ÷ 75 = 166 per day`
STR with the PO	`15,290 ÷ 166 ≈ 92 days > 78.75 → breach`
Stock on 1 Dec without the PO	`6,290 + 2,000 − 5,000 = 3,290`
Max Permissible	`78.75 × 166 − 3,290 ≈ 9,782`

First decision: Hold — Don't Raise, with Max Permissible 9,782. If the user accepts 9,782, the tool re-checks: the stock on 1 Dec becomes about 13,072, exactly 78.75 days of cover, so the **decision becomes Auto Allow** with 9,782 approved (12,000 proposed).

06 Multi Concept engine: peer ranking (Tool 1)

IN SIMPLE WORDS

For multi-style MRPs the question is not "how much" but **"is this option selling well compared with similar options?"** The tool takes all similar styles (same MC, MRP and Flag) from the Best Seller Report, sorts them by per-day sell-through, and sees where this option lands: top quarter (Q1) down to bottom quarter (Q4). **The proposed quantity does not change this decision.**

6.1 Building the peer group

HOW THE CURRENT SEASON IS DEFINED

- The **Current season** is whatever the user selects in **Season Selection** (Data Setup). If nothing is selected, the tool takes the latest season found in the Article Master.
- **Mid-season:** the user keeps the running season as Current (e.g. AW26).
- **Season transition:** the user decides. Keep the old season, switch to the new one, or select both while the new season builds up data (e.g. AW26 + SS26, see section 02).
- **Fallback season:** the same season of last year (AW26 → AW25, SS26 → SS25), set by the user. It is used when the Current selection has fewer than 5 qualifying peers.
- The tool always works on the user's selection: Tool 1, Tool 2, recommendations and the GRC backtest all use the same Current and Fallback choice.

- **Peers** = BSR rows with the same **MC + MRP + Flag** (a blank flag matches any), with **WOF ≥ 4 weeks**, from the **Current** season(s).
- If fewer than **5** peers qualify, the **Fallback** season is used instead. If Fallback has some peers but still fewer than 5, it is used and labelled "limited pool". The reason text always says which source was used.
- The full group is used; no outliers are removed.

6.2 PDSTR, rank and quartile

```
PDSTR = the option's "AVG PER DAY SELL THRU %" from the BSR
Percentile = share of the peer group with PDSTR at or below this option's PDSTR
Q1 = above 75 % (best) · Q2 = 50–75 % · Q3 = 25–50 % · Q4 = 25 % or below (slowest)
Peer average = average PDSTR of the peer group
Gap = (peer average − option's PDSTR) ÷ peer average
```

6.3 True Repeat decision (existing style, existing colour)

- If the option itself has **WOF below 4 weeks** → **Allow** (not enough history).
- If there is no peer group at all → **Allow**.
- Otherwise:

QUARTILE	PDSTR VS PEER AVERAGE	DECISION
Q1 or Q2	any	**Allow**
Q3	at or above average	**Allow**
Q3	below average, gap ≤ 10 % (border zone)	**Allow**
Q3	below average, gap > 10 %	**Watch List**
Q4	at or above average	**Watch List**
Q4	below average, gap ≤ 10 % (border zone)	**Watch List** (softened from Block)
Q4	below average, gap > 10 %	**Block**

Absolute Block: any **Allow** becomes **Block** if PDSTR is **below 1 % per day** and WOF is **4 weeks or more**, whatever the rank. A quartile is only relative: in a slow category even a weak seller can rank Q2, so this rule catches very slow sellers in absolute terms.

6.4 BOBs decision (existing style, new colour)

1. Find the style's other colours (siblings) in the BSR.
2. **Siblings with WOF ≥ 4 weeks exist:** rank each sibling against the peer group. If **any** sibling is Q3 or Q4 → **Watch List** (adding a colour is risky). If **all** are Q1 / Q2 → **Allow** (healthy parent style), then the Absolute Block check runs on the sibling with the longest time on floor.
3. **Siblings exist but none has 4 weeks on floor** → **Allow** (not enough history).
4. **No siblings found** → **Allow**.

6.5 STR caution flag

> ⚠ **STR CAUTION**
>
> **When a Multi Concept option is Allow with Q1 or Q2, the tool also checks the colour's stock cover (and its attribute's cover) for the delivery month, using the plan and sales mix. If cover is above 105 days (T2 × 1.05), it raises an "STR caution".**
>
> **The decision stays Allow, but the caution means: this option sells well, yet stock is already heavy. Review the quantity before raising.**

WORKED EXAMPLE (ILLUSTRATIVE NUMBERS)

A True Repeat option has PDSTR **1.6 %/day** and 10 weeks on floor. Its peer group has 20 styles with an average of **2.0 %/day**; 5 of the 20 are at or below 1.6 %, so it sits at the 25th percentile: **Q4**. Gap = (2.0 − 1.6) ÷ 2.0 = 20 %, more than 10 % → **Block**. If its PDSTR were 1.85 %/day (say the 35th percentile, Q3), the gap would be 7.5 %, inside the border zone → **Allow**.

07 Tool 2: reviewing POs already raised

IN SIMPLE WORDS

Tool 2 runs the same two engines on **every open line in F2** at once. A colour can lose momentum, or a newer option can outperform it, after the PO is placed. Each line comes back as Retain, Reduce Qty, Cancel or Watch List.

7.1 Single Concept lines

- Same steps as Tool 1 (mix gate, stock rolled forward, window from Day 1 of DM+1, daily rate), but with **T2 = 100 days** (effective **105 days**).
- The PO being reviewed is already in F2, so it is already inside the stock roll; nothing is added separately.

```
Stock without this PO = stock at window start − this PO's quantity
Max retain = 105 × daily rate − stock without this PO (never below 0)
```

SITUATION	DECISION
STR ≤ 105 days	**Retain** the full PO
STR > 105 days, max retain ≥ PO quantity	**Retain** (other stock is the cause, not this PO)
STR > 105 days, 0 < max retain < PO quantity	**Reduce Qty** to max retain; cut the balance
STR > 105 days, max retain = 0	**Cancel** the full PO
Colour mix < 2 %	**Watch List**
No plan in F4	**Retain**

7.2 Multi Concept lines

Exactly the same peer ranking as Tool 1, with the outcome renamed: Allow → **Retain**, Watch List → **Watch List**, Block (including Absolute Block) → **Cancel**. New Options (not in Universe Master or BSR) → **Retain**.

7.3 What the planner sees

- **Qty at risk** (KPI tiles and Excel export) = the quantity to be cut: for Reduce, PO qty − max retain; for Cancel, the full PO qty; Watch List adds no cut. In the Brand → Division → MC summary table, "Qty at Risk" counts the full PO quantity of every Reduce, Cancel and Watch List line.
- **Value at risk** = qty at risk × PO rate (PO value ÷ PO qty), or × MRP when PO value is not given.
- **% needing action** = (Reduce + Cancel + Watch List) ÷ all lines.

- Summaries by Brand → Division → MC, by delivery month, by vendor, and a Division × MC "excess concentration" table, all sorted by quantity at risk.
- Clicking a line shows the full calculation behind its decision.

7.4 The Excel export

- **Summary Dashboard** first: KPIs, decision mix, risk by MC, and quick links to each category head's sheets.
- One sheet per **category head × type**: Watch List (BoBs / True Repeat / Single Concept) and Reduce-Cancel (Single Concept / Multi Concept). Category heads come from the Cat Head Mapping on Brand × MC × MRP; anything unmatched goes under "Unassigned".
- Reduce/Cancel rows carry recommended options (section 08). A Reduce that keeps 90 % or more of the PO (a cut of 10 % or less) is marked "Acceptable as-is" and gets no swap options.
- Single Concept sheets add a colour-wise stock and PO table for each MC-MRP: stock, sales, mix, cover, and month-wise pending PO and Max Permissible.
- **All Decisions** last: every line, as the audit trail.

08 Phase 2: recommendations

Recommendations never change a decision. They show **what to raise instead, or next**.

8.1 Single Concept: quantity per colour per month

- For every colour in the MC-MRP: stock, last 45 days' sales, stock mix %, sales mix %, and a simple cover figure (stock ÷ average daily sales).
- For each of the next months (4 by default), the same Max Permissible calculation as Tool 1 is run with that month as the delivery month. The result is how much of that colour can be raised for that month without breaking 78.75 days. Each month is worked out on its own.
- Colours under the 2 % mix show Watch List; colours with no room show Hold.

8.2 Multi Concept: attribute → colour → best seller

1. **Pick the attribute that matters** for the MC-MRP from the Attribute Relevance Master (e.g. Style or Design). "Colour-only" means skip to the Single Concept method.
2. **Rank attribute values by mix deviation.** For each value (e.g. each Style): sales mix % – stock mix %. A value selling faster than it is stocked ranks first.
3. **Rank colours inside each attribute value by stock cover**, lowest cover (fastest-moving) first. The colour's demand is worked out step by step: MC-MRP plan × the attribute's sales share × the colour's sales share within that attribute ("nested anchoring").
4. **Confirm in the BSR.** For each attribute + colour, find the Generic Materials of that combination and rank them against their peers (same WOF and season rules as section 06). A **Q1** match becomes **Priority 1 (P1)**. Where a colour has no Q1, a **Q2** match becomes **P2**. A colour with no room left (Hold) is dropped.
5. **Quantity:** for each month, the same Max Permissible formula on the recommended colour.

8.3 Options 1/2/3 on Tool 2 Reduce / Cancel lines

- **Multi Concept:** the first three recommended options of a different colour (P1 first, then P2), shown as "GM / COLOUR (PDSTR %/day)".
- **Fallback:** if the MC-MRP has no Attribute Relevance entry, is Colour-only, or nothing verifies as Q1 / Q2, the three colours with the lowest stock cover in the same MC-MRP are suggested.
- **Single Concept:** other colours of the same MC-MRP and delivery month with cover below 65 days, or failing that up to 75 days, lowest first, up to three.

09 Analysis screens

9.1 Attribute Analysis

A read-only drill-down: Brand → MC → MRP × Flag. For every attribute column in the Article Master it shows stock mix %, sales mix % and deviation per value, and for colours, a cover band: No sales, under 30 days (fast), 30–75 (healthy), 75–120 (slow), 120+ (very slow). It uses F1, F3 and the Article Master only, and does not change any decision.

9.2 GRC backtest (Multi Concept)

- Asks: **"How would today's peer-ranking rules have judged what we actually bought?"**
- For each past goods receipt, the tool works out how many weeks the option had been on floor at that time, and ranks it only against peers that were mature enough then.
- Each receipt lands in a bucket: Q1–Q4, Absolute Block, Too New, No Peer Data, or Insufficient Peer Pool.
- **Judgeable qty** = receipts that could be ranked. **Wrong buy** = Q4 + Absolute Block. **Wrong-buy rate** = wrong ÷ judgeable.
- Views by week or month, by division, category head and brand, with an article trace for any GM.

9.3 Dashboards and AI insights (future enhancement)

These are **not built at present**. They are planned as future enhancements:

- **Category dashboard** (Tool 1 requests): requests, allow / watch / block mix, quantity requested vs approved, risk by MC, recently flagged requests.
- **Planner dashboard** (Tool 2): lines, retain / watch / reduce-cancel shares, quantity and value at risk, risk by MC.
- **AI insights and chat:** an AI model that reads the assessment results and explains patterns in plain language. It would never change a decision.

10 How it works on the shared server

- **Sign-in and roles:** admin and planners upload data and run Tool 2. Buyers and category heads raise Tool 1 requests and see their own MCs (from the SCR / Cat Head Mapping).
- **One shared set of data:** every upload is kept with an Upload ID and timestamp. Everyone works on the same latest files.
- **Request IDs:** every Tool 1 request gets a unique Request ID and is saved, so it can be found later in History.
- **Shared same-day room:** approved quantities from all users count against the same colour (section 5.6). If two people approve the same colour at the same moment, the second approval is capped to the room left. After SAP integration this is handled in SAP.
- **Watch List approval:** a Tool 1 request that comes out as Watch List goes to the **category head** of that Brand × MC × MRP (from the SCR mapping), or to the admin if none is mapped. The category head approves (optionally a smaller quantity) or rejects with a reason. The buyer sees the outcome in their Requests list.
- **History:** uploads, requests and Tool 2 runs can be looked up by date range.

11 Decision cheat-sheet

ENGINE	CONDITION	TOOL 1 (BEFORE PO)	TOOL 2 (AFTER PO)
Routing	Not in Universe Master or BSR (New Option)	Auto Allow	Retain
Routing	GM not found in any file	Cannot Validate	Cannot Validate
Single Concept	Colour mix < 2 %	Watch List	Watch List
Single Concept	No plan in F4	Auto Allow	Retain
Single Concept	Cover within threshold (78.75 d / 105 d)	Allow	Retain
Single Concept	Over threshold, some room left	Hold — Don't Raise, Max Permissible shown (accepting it → Auto Allow)	Reduce Qty to max retain
Single Concept	Over threshold, no room left	Hold	Cancel
Multi Concept	WOF < 4 weeks, no peer group, or no siblings	Allow	Retain
Multi Concept	Q1 / Q2; Q3 at or above average; Q3 within border zone	Allow	Retain
Multi Concept	Q3 beyond border zone; Q4 at or above average; Q4 within border zone	Watch List	Watch List
Multi Concept	Q4 beyond border zone	Block	Cancel
Multi Concept	Allow, but PDSTR < 1 %/day and WOF ≥ 4 weeks (Absolute Block)	Block	Cancel
Multi Concept · BOBs	Any qualifying sibling Q3 / Q4	Watch List	Watch List
Multi Concept · BOBs	All qualifying siblings Q1 / Q2	Allow	Retain

12 Terms used

TERM	MEANING
GM	Generic Material: the style code
MC · MRP · Flag	Merchandise category, price point, and BOGO / non-BOGO
DM	Delivery month of the PO
STR (in the Single Concept engine)	Stock cover in days: how long the stock on Day 1 after the delivery month will last at the planned daily rate
PDSTR	Average per-day sell-through %, from the BSR
WOF	Weeks on floor
Q1 … Q4	Quarters of the peer ranking: Q1 = top 25 % (best), Q4 = bottom 25 % (slowest)
Peer group	Similar styles: same MC + MRP + Flag, WOF ≥ 4 weeks, Current (or Fallback) season

TERM	MEANING
Border zone	Up to 10 % below the peer average, where a Q3 / Q4 decision is softened
True Repeat · BOBs · New Option	Existing style and colour · existing style in a new colour · no history at all
Max Permissible	The largest quantity that keeps cover within the effective threshold
Colour mix %	A colour's share of its MC-MRP's sales in the last 45 days
Plan (F4)	The monthly plan at MC-MRP level, split to colours by the colour mix